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General Comment

See attached file(s)

Attachments

PLC_RFI Response 31425

The Payments Leadership Council (PLC) appreciates the opportunity to comment on the Networking and Information Technology Research and Development (NITRD) National Coordination Office (NCO)'s request for information (RFI) on the Development of an Artificial Intelligence (AI) Action Plan ("Plan"). As a CEO-led organization representing the world's leading payments networks—American Express, Discover, FIS, Fiserv, Mastercard, and Visa—PLC is committed to expanding global commerce and driving inclusive growth by encouraging public policies that protect consumers, foster financial inclusion, and promote innovation and competition in payments.

While payments companies have been using machine learning and AI to detect fraud and protect customers for decades, the integration of AI technologies has surged over recent years, enhancing efficiency, security, and user experience in many areas, including operations, risk management, and customer interactions. However, as financial institutions use AI to drive innovation, bad actors are also leveraging AI to perpetrate fraud, bypass security systems, and manipulate financial transactions. A coordinated and adaptive regulatory approach is essential to protect American competitiveness and ensure that AI fosters trust, security, competition, and efficiency in financial services.

The NITRD should proactively work with international, federal, and state regulators on AI oversight and regulation applicable to the financial sector. Without a coordinated national approach that promotes interoperability across jurisdictions and sectors, financial institutions and AI developers risk navigating a patchwork of inconsistent rules, leading to regulatory arbitrage, compliance inefficiencies, and potential security vulnerabilities.

To ensure a unified, effective, and globally competitive AI regulatory environment, the federal government should develop a national flexible and risk-based AI governance framework to prevent regulatory arbitrage. To develop this framework, PLC recommends starting a public-private working group to identify any areas where AI standards and regulations in the financial sector conflict, produce duplicative requirements, or leave gaps and identify the most potent risks to consumer trust and transparency. We recommend that the working group convenes quarterly and includes, but is not necessarily limited to:

- Financial services providers
- AI developers and researchers
- Regulatory bodies

At the conclusion of the working group, the group should release a report outlining a coherent, coordinated framework for proposed national AI governance best practices unique to the financial services sector that both promote innovation and protect consumers. By fostering continuous dialogue between regulators and industry leaders, the working group will help ensure that AI is leveraged in a way that enhances security, fosters competition, and protects consumers while maintaining U.S. leadership in financial innovation.

In addition, the U.S. must take the lead in working with global partners to shape global AI standards and governance frameworks that align with American interests and ensure competitive markets for U.S. financial services. As AI in the financial sector operates across borders and markets, it is essential that international regulatory coordination prioritizes U.S. leadership, innovation, and economic strength.

To this end, the U.S. should continue to engage with the G7 and G20 working groups (and other international organizations and forums, as appropriate) to develop coordinated global AI governance policies. Coordination will help prevent conflicting AI regulations that create barriers to cross-border financial transactions and disadvantage U.S.-based payments companies. Additionally, the U.S. should work with the IMF to prevent harm to American consumers in the global financial sector.

Currently, in the United States and overseas, AI-related risks may be exacerbated without a uniform and nimble approach to regulation. In the United States, there is a growing patchwork of legislation at the state level, and the lack of a federal framework risks creating disparate policies for enterprise use, which may ultimately adversely impact financial institutions, businesses (especially small businesses), and consumers. It is imperative that the US government help coordinate with stakeholders domestically and internationally to develop a framework that can be applied globally to ensure that AI deployment follows the "same activity, same risk, same regulation" principle.

We appreciate the opportunity to contribute to this critical discussion and welcome further engagement with the NITRD NCO as the AI Action Plan develops.